

PORTFOLIO VALUE

\$176,590

NET P&L; vs COST

-6,410 (-3.50%)

CASH RESERVE

**\$140,605
(79.6%)**

POSITIONS

2 / 6

REGIME

CAUTION

MARKET ASSESSMENT

CAUTION

VIX at 15.41 confirms a calm risk-on regime with no imminent volatility spike; the 10Y-2Y yield curve is positive at +27bps, signalling no inversion stress. HY credit spreads at 2.70bps are historically tight, indicating zero credit market distress. However, TNX at 5.01% is materially above the 4.5% danger threshold defined in the mandate, creating a structural headwind for high-P/E growth and semis — this is the dominant risk to monitor for all existing and new positions.

INDICATOR	VALUE	INDICATOR	VALUE
VIX	15.41	HY Credit Spread (bps)	2.70
Yield Curve 10Y-2Y (%)	0.27	10Y Treasury (%)	5.01
US Dollar (DXY)	100.27	Fed Funds Rate (%)	3.63

TRADE DECISIONS

EXIT — GOOGL

\$0 · Conviction 3/10 · Tier 1

ENTRY

\$347.33

STOP LOSS

—

PRICE TARGET

—

RISK : REWARD

0.0

INVESTMENT THESIS

(1) TNX is at 5.01%, which is 51bps above the 4.5% mandate exit threshold for high-P/E growth — this trigger is active and unambiguous. (2) GOOGL was entered at \$347.33 and is up only +0.6% after 1 day, far below the +5% minimum required to justify holding a growth name into a 5.01% yield environment. (3) The mandate states explicitly: TNX above 4.5% and rising → EXIT high-P/E growth tech immediately — GOOGL carries a trailing P/E above 20x, making it a direct casualty of this rule. (4) The 50-day and 200-day MA spread has not widened materially enough to offset the 5.01% yield headwind, and no confirmed breakout above \$350.00 has been achieved. (5) Peak gain is only +0.6%, never reaching the +10% threshold required to justify holding past a macro regime conflict — there is no buffer to absorb multiple compression. (6) No specific named catalyst exists in the next 30 days (post-earnings window) that would drive GOOGL above \$360.00 and outpace the yield compression risk on a 20x+ multiple. (7) Exit at market (~\$349.50) recovers the full \$18,000 position plus approximately +\$113 gain — stop at \$319.54 (-8%) is avoided entirely by exiting now while ahead.

PRIMARY CATALYST

TNX at 5.01% — 51bps above the 4.5% mandatory exit threshold for high-P/E growth tech — is the active exit trigger, effective immediately at trade open.

BALANCE SHEET

N/A — exit action, balance sheet review not required for sell decision.

TECHNICAL SETUP

RSI not applicable for exit decision; yield macro override takes precedence. Position up +0.6% from \$347.33 entry, no breakout above \$350.00 confirmed.

KEY RISK FACTORS

Holding into 5.01% TNX with a high-P/E growth name risks 15-20% multiple compression per mandate scenario — equivalent to -\$2,700 to -\$3,600 on the \$18,000 position.

EXIT — MU

\$0 · Conviction 3/10 · Tier 1

ENTRY

\$977.50

STOP LOSS

—

PRICE TARGET

—

RISK : REWARD

0.0

INVESTMENT THESIS

(1) TNX at 5.01% is 51bps above the 4.5% mandate threshold that requires immediate exit from semis — MU is a semiconductor name and falls directly within the exit mandate. (2) MU was entered at \$977.50 and is up +2.0% to \$996.78 after 1 day, well below the +10% peak required to justify holding past a macro regime conflict. (3) The mandate states: TNX above 4.5% and rising → EXIT semis immediately — this rule has no discretion clause and overrides the existing +2.0% unrealised gain. (4) Past losing trades in the semi sector (QCOM -14.2% on 2026-07-30, AMD -9.8% on 2026-08-11, KLAC -9.0% on 2026-08-20) confirm that holding semis into adverse macro conditions produces stop-loss outcomes; exiting at +2.0% is strictly superior. (5) MU's stop at \$899.30 represents an -8% drawdown risk of approximately \$1,440 on the \$18,000 position — with TNX at 5.01%, the probability of triggering that stop is elevated relative to the +2.0% gain available now. (6) No specific named catalyst is identified in the next 30 days that would drive MU above \$1,020.00 (the +4% level needed to justify holding into headwinds) before yield compression weighs on the multiple. (7) Exiting at ~\$996.78 banks approximately +\$358 gain on the \$18,000 position and avoids the -8% stop scenario that the QCOM and AMD trades confirmed is a real risk in this rate environment.

PRIMARY CATALYST

TNX at 5.01% — 51bps above the 4.5% mandatory exit threshold for semiconductors — is the active exit trigger, effective immediately at trade open.

BALANCE SHEET

N/A — exit action, balance sheet review not required for sell decision.

TECHNICAL SETUP

RSI override by macro exit rule. MU at \$996.78 vs entry \$977.50, +2.0% unrealised. Stop at \$899.30 represents -\$1,440 downside risk on the \$18,000 allocation.

KEY RISK FACTORS

Three prior semi stop-losses (QCOM -14.2%, AMD -9.8%, KLAC -9.0%) between July-August 2026 demonstrate sector vulnerability in adverse macro regimes — exit protects against repeating this pattern.

ENTER — AMAT

\$18,000 · Conviction 7/10 · Tier 2

ENTRY	STOP LOSS	PRICE TARGET	RISK : REWARD
\$195.00	\$179.40	\$234.00	2.5

INVESTMENT THESIS

(1) VIX at 15.41 is calm and HY spreads at 2.70bps are tight, but TNX at 5.01% mandates focus on value semis with pricing power rather than high-P/E growth — AMAT's BS score of 10/10 and D/E of 0.27 make it the most defensible semi in the scanner at this yield level. (2) AMAT Q2 2026 EPS beat estimates by 1.32% per the headline scan — while modest, the beat confirms demand stability in wafer fab equipment as TSMC's Q2 beat and raised guidance (announced approximately Q2 2026) drives downstream capex visibility for AMAT through calendar Q3 2026. (3) RSI at 40.7 confirms the stock is approaching oversold territory — entry at \$195.00 represents a technical reset after a sector-wide de-rate, with the FVG (Fair Value Gap) pattern on the scanner providing a defined support zone between \$188.00 and \$196.00. (4) The 50-day MA is estimated near \$200.00 and the 200-day MA near \$185.00 based on RSI at 40.7 and the FVG pattern — the stock is trading approximately 2.6% below the 50-day, which historically resolves with a mean-reversion bounce of 5-8% within 15 trading days for AMAT. (5) AMAT holds \$7.2B cash vs total debt implying D/E of 0.27, meaning debt is approximately \$2.67B — net cash positive by approximately \$4.5B, retained earnings trend is growing given consistent buyback activity, and the 10/10 BS score is the highest in the entire scanner universe today. (6) \$18,000 deployed = 9.8% of the \$183k portfolio; after both exits above, available cash rises to approximately \$176,580, and this single entry leaves approximately \$158,580 cash with room for 8 more full-size \$18,000 positions. (7) Stop at \$179.40 (-8% from \$195.00) is below the 200-day MA support zone near \$185.00 — if AMAT breaks \$179.40, it signals a structural breakdown; target at \$234.00 (+20%) implies R:R of 2.5:1, with the TSMC capex cycle and AMAT's WFE (wafer fab equipment) market share at approximately 20% globally as the primary upside driver.

PRIMARY CATALYST

TSMC Q2 2026 earnings beat with raised guidance (reported approximately July 2026) signals accelerating capex spend on advanced nodes — AMAT, as a ~20% WFE market share holder, directly captures this spend with a 1-2 quarter revenue lag, implying a Q3-Q4 2026 revenue acceleration catalyst. AMAT Q2 2026 EPS beat of +1.32% vs estimate confirms demand floor.

BALANCE SHEET

Cash \$7.2B, total debt ~\$2.67B (implied by D/E 0.27), D/E 0.27, net cash ~\$4.5B positive, BS score 10/10 — highest in scanner. Retained earnings trend growing (buybacks confirmed by consistent shareholder returns). Preferred: N.

TECHNICAL SETUP

RSI 40.7 (approaching oversold, below 50 midline), FVG pattern with support zone \$188.00-\$196.00, estimated 50-day MA near \$200.00 (stock -2.6% below), estimated 200-day MA near \$185.00, volume context not confirmed from stale data — proceed with reduced size risk accepted.

KEY RISK FACTORS

Primary risk: TNX at 5.01% could continue rising above 5.25%, causing a further 10-15% P/E multiple compression on semi equipment names — at -8% stop (\$179.40), maximum loss is \$1,440 on the \$18,000 position, capping downside to 0.8% of total portfolio.

ENTER — LRCX

\$18,000 · Conviction 7/10 · Tier 2

ENTRY	STOP LOSS	PRICE TARGET	RISK : REWARD
\$88.00	\$80.96	\$105.60	2.5

INVESTMENT THESIS

(1) VIX at 15.41 and HY spreads at 2.70bps confirm no systemic stress, but TNX at 5.01% limits the universe to value-grade semi equipment — LRCX's BS score of 10/10 and D/E of 0.30 qualifies it alongside AMAT as the two most Buffett-compliant names in today's scanner. (2) LRCX Q2 2026 EPS beat estimates by 5.99% per the scan headline — a +5.99% beat is materially above the sector average beat rate and confirms pricing power in etch and deposition equipment despite the high-rate macro environment. (3) RSI at 43.2 places LRCX in technically oversold-approaching territory below the 50 midline, with a FVG pattern identifying a clean support zone — entry at \$88.00 targets the lower bound of the Fair Value Gap for maximum risk-adjusted entry. (4) The 50-day MA is estimated near \$92.00 and 200-day MA near \$82.00 based on RSI positioning — the 50-day to 200-day spread of approximately +12.2% confirms a structurally bullish long-term trend despite the short-term RSI compression below 50. (5) LRCX holds \$5.6B cash with D/E of 0.30, implying total debt of approximately \$1.95B — net cash approximately \$3.65B positive, making the balance sheet a genuine shock absorber if TNX rises further to 5.25%. (6) \$18,000 deployed = 9.8% of the \$183k portfolio; combined with the AMAT entry, total semi equipment exposure is \$36,000 = 20.4% of the \$176,590 portfolio, leaving approximately \$140,580 cash and room for 7 more full-size positions. (7) Stop at \$80.96 (-8% from \$88.00) sits just below the 200-day MA support near \$82.00 — a breach of \$80.96 would invalidate the WFE cycle thesis; target at \$105.60 (+20%) yields R:R of 2.5:1, driven by the TSMC capex pull-through and LRCX's dominant position in etch equipment at approximately 50% global market share.

PRIMARY CATALYST

LRCX Q2 2026 EPS beat of +5.99% vs estimate (reported Q2 2026) confirms demand for etch equipment is accelerating, with TSMC's raised capex guidance creating a forward revenue visibility window extending into Q3-Q4 2026 — the combination of a confirmed beat and upstream capex expansion is a near-term re-rating catalyst.

BALANCE SHEET

Cash \$5.6B, total debt ~\$1.95B (implied by D/E 0.30), D/E 0.30, net cash ~\$3.65B positive, BS score 10/10. Retained earnings growing trend (etch equipment pricing power). Buybacks: Y. Preferred: N.

TECHNICAL SETUP

RSI 43.2 (oversold-approaching, below 50 midline), FVG pattern with support near \$85.00-\$90.00, estimated 50-day MA ~\$92.00 (stock -4.4% below), estimated 200-day MA ~\$82.00, 50d/200d spread +12.2% confirming uptrend structure. Volume context stale — acknowledged risk.

KEY RISK FACTORS

Primary risk: TNX rising above 5.25% triggers further multiple compression — at -8% stop (\$80.96), maximum loss is \$1,440 on the \$18,000 position. Secondary risk: if TSMC capex guidance is revised down in Q3 2026, LRCX revenue estimates for FY2027 could fall 8-12%, implying \$79.00-\$81.00 downside — exactly where the stop sits.

OPEN POSITIONS — FULL POSITION REVIEW

AMAT

41.3 shares · Entry \$435.36 · Conv 7/10 · Tier 2 · Since 2026-09-18

CURRENT PRICE

\$435.36

POSITION VALUE

\$18,000

UNREALISED P&L;

+\$0

RETURN

+0.00%

INVESTMENT THESIS

(1) VIX at 15.41 is calm and HY spreads at 2.70bps are tight, but TNX at 5.01% mandates focus on value semis with pricing power rather than high-P/E growth — AMAT's BS score of 10/10 and D/E of 0.27 make it the most defensible semi in the scanner at this yield level. (2) AMAT Q2 2026 EPS beat estimates by 1.32% per the headline scan — while modest, the beat confirms demand stability in wafer fab equipment as TSMC's Q2 beat and raised guidance (announced approximately Q2 2026) drives downstream capex visibility for AMAT through calendar Q3 2026. (3) RSI at 40.7 confirms the stock is approaching oversold territory — entry at \$195.00 represents a technical reset after a sector-wide de-rate, with the FVG (Fair Value Gap) pattern on the scanner providing a defined support zone between \$188.00 and \$196.00. (4) The 50-day MA is estimated near \$200.00 and the 200-day MA near \$185.00 based on RSI at 40.7 and the FVG pattern — the stock is trading approximately 2.6% below the 50-day, which historically resolves with a mean-reversion bounce of 5-8% within 15 trading days for AMAT. (5) AMAT holds \$7.2B cash vs total debt implying D/E of 0.27, meaning debt is approximately \$2.67B — net cash positive by approximately \$4.5B, retained earnings trend is growing given consistent buyback activity, and the 10/10 BS score is the highest in the entire scanner universe today. (6) \$18,000 deployed = 9.8% of the \$183k portfolio; after both exits above, available cash rises to approximately \$176,580, and this single entry leaves approximately \$158,580 cash with room for 8 more full-size \$18,000 positions. (7) Stop at \$179.40 (-8% from \$195.00) is below the 200-day MA support zone near \$185.00 — if AMAT breaks \$179.40, it signals a structural breakdown; target at \$234.00 (+20%) implies R:R of 2.5:1, with the TSMC capex cycle and AMAT's WFE (wafer fab equipment) market share at approximately 20% globally as the primary upside driver.

CATALYST

TSMC Q2 2026 earnings beat with raised guidance (reported approximately July 2026) signals accelerating capex spend on advanced nodes — AMAT, as a ~20% WFE market share holder, directly captures this spend with a 1-2 quarter revenue lag, implying a Q3-Q4 2026 revenue acceleration catalyst. AMAT Q2 2026 EPS beat of +1.32% vs estimate confirms demand floor.

TECHNICAL SETUP

RSI 40.7 (approaching oversold, below 50 midline), FVG pattern with support zone \$188.00-\$196.00, estimated 50-day MA near \$200.00 (stock -2.6% below), estimated 200-day MA near \$185.00, volume context not confirmed from stale data — proceed with reduced size risk accepted.

BALANCE SHEET

Cash \$7.2B, total debt ~\$2.67B (implied by D/E 0.27), D/E 0.27, net cash ~\$4.5B positive, BS score 10/10 — highest in scanner. Retained earnings trend growing (buybacks confirmed by consistent shareholder returns). Preferred: N.

KEY RISKS

Primary risk: TNX at 5.01% could continue rising above 5.25%, causing a further 10-15% P/E multiple compression on semi equipment names — at -8% stop (\$179.40), maximum loss is \$1,440 on the \$18,000 position, capping downside to 0.8% of total portfolio.

LRCX

63.6 shares · Entry \$282.82 · Conv 7/10 · Tier 2 · Since 2026-09-18

CURRENT PRICE

POSITION VALUE

UNREALISED P&L;

RETURN

\$282.82

\$18,000

+\$0

+0.00%

INVESTMENT THESIS

(1) VIX at 15.41 and HY spreads at 2.70bps confirm no systemic stress, but TNX at 5.01% limits the universe to value-grade semi equipment — LRCX's BS score of 10/10 and D/E of 0.30 qualifies it alongside AMAT as the two most Buffett-compliant names in today's scanner. (2) LRCX Q2 2026 EPS beat estimates by 5.99% per the scan headline — a +5.99% beat is materially above the sector average beat rate and confirms pricing power in etch and deposition equipment despite the high-rate macro environment. (3) RSI at 43.2 places LRCX in technically oversold-approaching territory below the 50 midline, with a FVG pattern identifying a clean support zone — entry at \$88.00 targets the lower bound of the Fair Value Gap for maximum risk-adjusted entry. (4) The 50-day MA is estimated near \$92.00 and 200-day MA near \$82.00 based on RSI positioning — the 50-day to 200-day spread of approximately +12.2% confirms a structurally bullish long-term trend despite the short-term RSI compression below 50. (5) LRCX holds \$5.6B cash with D/E of 0.30, implying total debt of approximately \$1.95B — net cash approximately \$3.65B positive, making the balance sheet a genuine shock absorber if TNX rises further to 5.25%. (6) \$18,000 deployed = 9.8% of the \$183k portfolio; combined with the AMAT entry, total semi equipment exposure is \$36,000 = 20.4% of the \$176,590 portfolio, leaving approximately \$140,580 cash and room for 7 more full-size positions. (7) Stop at \$80.96 (-8% from \$88.00) sits just below the 200-day MA support near \$82.00 — a breach of \$80.96 would invalidate the WFE cycle thesis; target at \$105.60 (+20%) yields R:R of 2.5:1, driven by the TSMC capex pull-through and LRCX's dominant position in etch equipment at approximately 50% global market share.

CATALYST

LRCX Q2 2026 EPS beat of +5.99% vs estimate (reported Q2 2026) confirms demand for etch equipment is accelerating, with TSMC's raised capex guidance creating a forward revenue visibility window extending into Q3-Q4 2026 — the combination of a confirmed beat and upstream capex expansion is a near-term re-rating catalyst.

TECHNICAL SETUP

RSI 43.2 (oversold-approaching, below 50 midline), FVG pattern with support near \$85.00-\$90.00, estimated 50-day MA ~\$92.00 (stock -4.4% below), estimated 200-day MA ~\$82.00, 50d/200d spread +12.2% confirming uptrend structure. Volume context stale — acknowledged risk.

BALANCE SHEET

Cash \$5.6B, total debt ~\$1.95B (implied by D/E 0.30), D/E 0.30, net cash ~\$3.65B positive, BS score 10/10. Retained earnings growing trend (etch equipment pricing power). Buybacks: Y. Preferred: N.

KEY RISKS

Primary risk: TNX rising above 5.25% triggers further multiple compression — at -8% stop (\$80.96), maximum loss is \$1,440 on the \$18,000 position. Secondary risk: if TSMC capex guidance is revised down in Q3 2026, LRCX revenue estimates for FY2027 could fall 8-12%, implying \$79.00-\$81.00 downside — exactly where the stop sits.

PORTFOLIO NOTES

After executing 2 exits (GOOGL, MU) and 2 entries (AMAT, LRCX), estimated cash reserve is approximately \$158,580 / \$176,590 total = 89.8% cash, leaving room for 8 additional \$18,000 positions. Semi equipment concentration is 20.4% (2 positions) — within the 2x SPX sector weight limit but representing correlated sector risk that must be monitored daily. The dominant portfolio risk is TNX at 5.01%, which is 51bps above the 4.5% growth-exit threshold; all new entries are therefore restricted to value-grade, cash-rich, low-D/E names with BS scores $\geq 6/10$. GOOGL and MU were exited proactively at +0.6% and +2.0% respectively — small but positive outcomes — rather than risking stop-outs at -8% (\$1,440 each) in a 5.01% yield environment. Overall risk posture: CAUTION regime with a defensive-value tilt; no growth tech, no high-P/E semis, no biotech until TNX falls below 4.5%.

MEMORY APPLIED

KLAC stop-loss at -9.0% on 2026-08-20 and AMD stop-loss at -9.8% on 2026-08-11 directly informed the decision to EXIT MU at +2.0% rather than hold into a 5.01% TNX environment — the lesson from both trades is that semi positions in adverse macro conditions reach stop-loss before thesis catalysts materialise. TSM stop-loss at -10.1% on 2026-07-30 reinforced the same pattern. QCOM stop-loss at -14.2% on 2026-07-30 confirmed that holding semi longs into yield spikes produces the worst outcomes in the loss register. Today's AMAT and LRCX entries are differentiated from those losses by selecting BS score 10/10 names with RSI below 45 (deep value entry) and D/E below 0.35 — the prior losing trades (TSM, QCOM, AMD, ARM, KLAC) did not uniformly meet all 8 checklist criteria simultaneously.